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China Autos & Shared Mobility | Asia Pacific

Europe Marketing Feedback - Global Auto Shake-up

Global auto investors adopt a cautious stance. China EVs see split views, with exports and new premium models favored amid soft domestic sales and intense competition. Investors are now focused on globalization, AD/physical AI and ESS as areas with solid commercial growth potential.

Investor conviction remains nuanced: We spent the past week in Europe, co-marketing with our Korean and Europe auto/battery teams. While constructive on medium-term technology diffusion, sentiment is structurally cautious, weighed by concerns over weak China demand and legacy OEM vulnerabilities globally. Investors are broadly rotating capital toward long-duration growth stories backed by structural industry change, rather than low-margin traditional cyclical auto plays, amid lingering macro and geopolitical overhangs. Globalization, vehicle autonomy, and physical AI robotics stand out as the key thematic trades.

Exports the only game in town? China's exports of PVs and NEVs grew ~70% and 120% YoY in Jan-Apr, suggesting that OEMs without a credible overseas pathway could face a double whammy of falling vehicle sales and contracting margins. However, European policy remains fragmented, with no unified stance on Chinese auto imports, creating both risks and opportunities for companies that can navigate national-level politics. For investors, the key question is not whether Chinese manufacturers will gain share in Europe, but which ones can do so while managing tariff and regulatory friction. On-/near-shoring looks strategically inevitable, drawing investor attention to the progress of the Stellantis EU plant acquisition.

Beyond autos - physical AI and robotics: While not as enthusiastic as US or Asia-based investors, European investors are increasingly rotating into the physical AI theme, where automotive cash flows are being recycled into humanoid robotics and autonomous driving as a deliberate strategy for valuation re-rating. Automakers are leveraging core competencies in hardware, perception, and mobility to position themselves at the center of the robotics narrative. This is becoming a core pillar of the equity story for forward-thinking auto companies, offering a pathway to break free from the low multiples historically assigned to traditional manufacturers.

Stock views: Amid the sell-off, we prefer quality players such as XPeng (9868.HK), Voyah (7489.HK), and SAIC (600104.SS) for re-rating opportunities, where pessimism bias, 2H26 launches, and overseas exposure could offer stronger downside protection. We remain positive on NIO (9866.HK) and Geely (0175.HK), although 15%+ YTD rallies for both vs. a flat HSI could magnify near-term debates. Within auto parts, Hesai (HSAI.O), Minth (0425.HK) and Xingyu (601799.SS) are our preferred stocks. We view Li Auto's (2015.HK) 14% sell-off (vs. HSI 2.9%) as overdone, amplified by broader market weakness and long squeeze post L9 launch.

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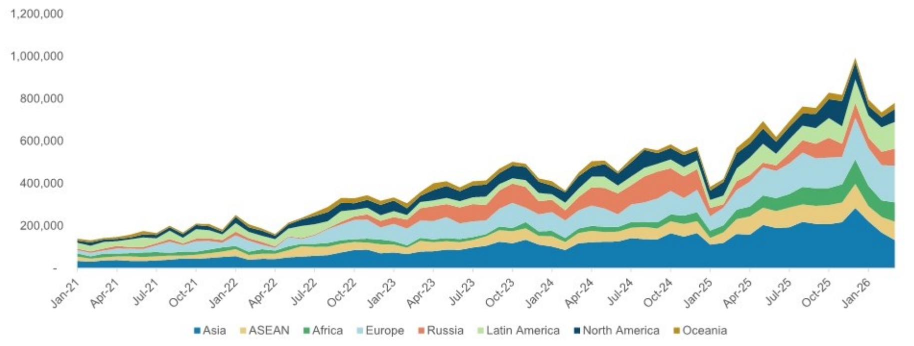
CHINA AUTOS & SHARED MOBILITY	
Asia Pacific	
Industry View	In-Line

Exhibit 1: China's Auto Export Breakdown by Region



Source: China General Administration of Customs, Morgan Stanley Research

Across global autos, investor sentiment is generally cautious but selectively constructive on batteries for ESS and cutting-edge auto tech leaders, e.g., autonomous driving/robotaxi and humanoid players. As to China autos, investors hold a cautious view, only leaning bullish on export- and new model-driven EV names while remaining bearish on domestic demand and competition.

Chinese car sales have soared across Europe, forging broad bearish sentiment toward global players, particularly in the mass market, while European investors are closely watching how local carmakers may leverage strategic tie-ups with Chinese EV names to address overcapacity in Europe. Amid Chinese auto-makers' global inroads, global mass-market legacy OEMs were framed as share donors in the current market context, while our Europe auto analyst Javier Martinez thinks premium luxury names, BMW and Mercedes, could better fend off Chinese competition.

Thematic focus clusters around export-centric execution, battery technology differentiation (sodium-ion) , and robotics optionality as a differentiated alpha source. Investors questions during our trip were heavily focused on BYD, Geely, the EV trio and Leapmotor, as well as parts names, like chip and LiDAR makers, e.g., Horizon Robotics and Hesai/Robosense. ICE franchises are viewed as structurally challenged, not cyclically depressed. As we were co-marketing with our Korea and Europe auto/battery analysts, there were several interesting discussions about a potential leadership shake-up in the US battery market in the wake of the Ford-CATL tie-up and also in the European auto market as automakers retreat and look to off-load plants.

Stock Implications

BYD - The juggernaut's next act: BYD dominated discussions as the benchmark export and battery play. Several investors think BYD remains the default long in the sector, but the near-term setup calls for patience. The stock is expected to trade sideways through 1H26 in light of suppressed China sales. Trading above 20x earnings, the stock demands not only robust overseas shipments but also a resurgence in domestic sales to justify its multiple. Meanwhile, export execution remains the single most critical profit lever for the stock.

Geely – Race to catch up: Driven by more proactive marketing and new product releases, Geely's inquiries and profile have risen significantly vs. our previous trips in Europe. On the bright side, investors appreciated the expanded model lineup in Europe; on the flip side, some noted that organizational complexity and governance remain areas investors continue to monitor.

EV start-ups – Second act, first priority: On the back of lively discussion of Hyundai Motor/Boston Dynamics (HMC covered by Young Suk Shin), XPeng emerged as a Chinese EV play aligned with the physical AI and robotics thesis. NIO has gained traction in the wake of its YTD rally, but whether volume sales and cash burn can continue to move in divergent directions remains in question. Although Li Auto is trading near cash value, investors remain conflicted about how it can transition its edge from vehicles to embodied robots as competitors pour into the high-end SUV market.

Traditional OEMs without a clear technological moat or export story face structural headwinds that cyclical policy support cannot reverse. The center of gravity is shifting from how many cars a company sells in China to how effectively it can monetize its technology stack across borders and into entirely new end-markets.

Auto parts: AD/AI chips (Horizon Robotics) and LiDAR (Hesai/Robosense) are most frequently asked about, as the core investor debate has shifted decisively away from the cyclical recovery of traditional OEMs toward structural beneficiaries in autonomy and embodied AI. On the bright side, investors are constructive on upside potential emerging from market share gains in both China and overseas markets, as well as higher value content. On the flip side, the nature of the business means it cannot immediately escape the cyclical fluctuations inherent in auto parts, as reflected in price/cost shocks and competitive pressure.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb45.11
BAIC Motor (1958.HK)	E (10/02/2025)	HK$1.23
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK$2.82
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb8.61
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb6.43
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK$2.61
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb17.56
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb12.94
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb29.18
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb12.65
Voyah Automotive Technology Co. Ltd, (7489.HK)	O (03/31/2026)	HK$5.75
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb31.71
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb90.62

Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb31.08
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb130.46
China MeiDong Auto Holdings Ltd (1268.HK)	E (01/08/2024)	HK$0.82
China Yongda Automobiles Services (3669.HK)	E (08/13/2024)	HK$0.90
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb31.50
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb55.41
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK$58.60
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb103.74
Keboda (603786.SS)	O (01/17/2024)	Rmb54.08
Minth Group Limited (0425.HK)	O (08/24/2015)	HK$37.04
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb9.15
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK$4.89
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb30.93
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb71.42
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb16.79
Suzhou Recodeal Interconnect System (688800.SS)	U (09/27/2024)	Rmb144.77
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK$13.92
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb52.92
Zhongsheng Group Holdings (0881.HK)	O (10/12/2021)	HK$6.62
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb6.73
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb94.51
BYD Company Limited (1211.HK)	O (04/14/2025)	HK$93.80
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US$9.44
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK$20.58
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb18.44
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK$11.04
Hesai Group (HSAI.O)	O (07/28/2025)	US$22.44
Horizon Robotics (9660.HK)	O (12/02/2024)	HK$5.97
Li Auto Inc. (LI.O)	O (08/24/2020)	US$18.51
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK$64.90
NIO Inc. (9866.HK)	O (10/03/2022)	HK$47.54
NIO Inc. (NIO.N)	O (08/26/2020)	US$6.10
WeRide Inc (WRD.O)	O (11/19/2024)	US$7.14
XPeng Inc. (9868.HK)	O (11/16/2021)	HK$60.65
XPeng Inc. (XPEV.N)	O (01/29/2021)	US$15.62

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.